



Glycerine (Asia-Pacific)

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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Demand remains sluggish due to the weak downstream ECH**
- **High inventories in China, supply length curb spot imports**
- **Market stagnates with both buyers and sellers in wait mode**

Asia's glycerine market was in a stagnant mode, with both buyers and sellers staying on the sidelines.

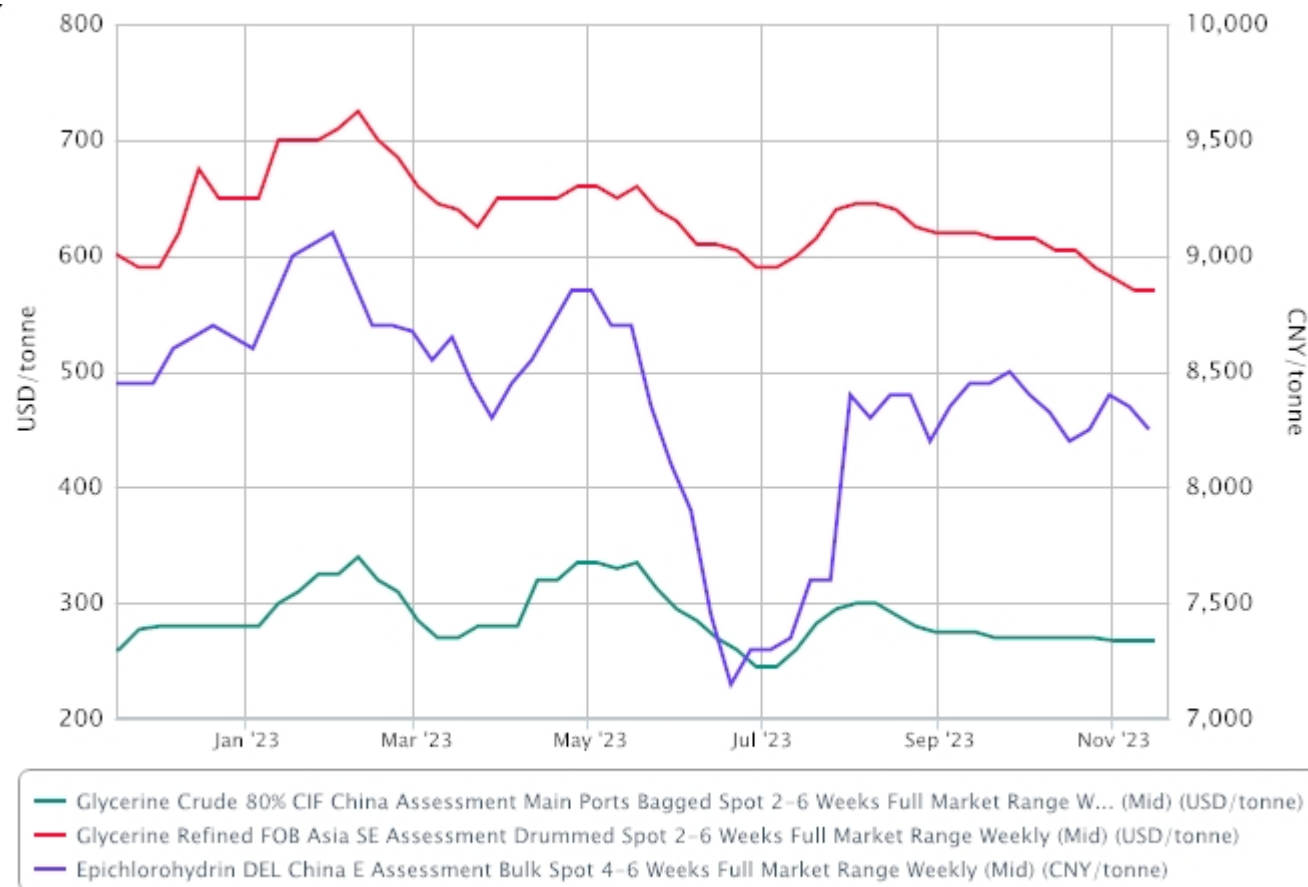
Ample glycerine inventories in China had curbed spot interest for fresh imports.

The weak downstream epichlorohydrin (ECH) market also added to the stalemate. Further, the downstream ECH makers had largely secured sufficient glycerine stocks to meet their immediate requirements.

Firm bids and offers were scant in a rather subdued week, with buyers and sellers entrenched in their respective positions.

Suppliers were confident that spot interest would likely emerge and gather momentum in the weeks approaching the Lunar New Year holiday in February 2024.

Buyers on the other hand, were not pressured to restock and commit to H2 December-H1 January shipments, having adequately covered their early December requirements.



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OUTLOOK

- **Buy-sell gap to curb fresh spot trades, buyers and sellers wait**
- **Downstream ECH market to remain sluggish in the near term**
- **Biodiesel output ample, adding length to glycerine supply**

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	n/c	265-270	n/c	265-275	12.02-12.25
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	n/c	560-640	n/c	600-650	25.40-29.03
CFR China Drummed	USD/tonne	n/c	560-640	n/c	600-650	25.40-29.03
FOB SE Asia Drummed	USD/tonne	n/c	540-600	n/c	580-630	24.49-27.22

Refined glycerine

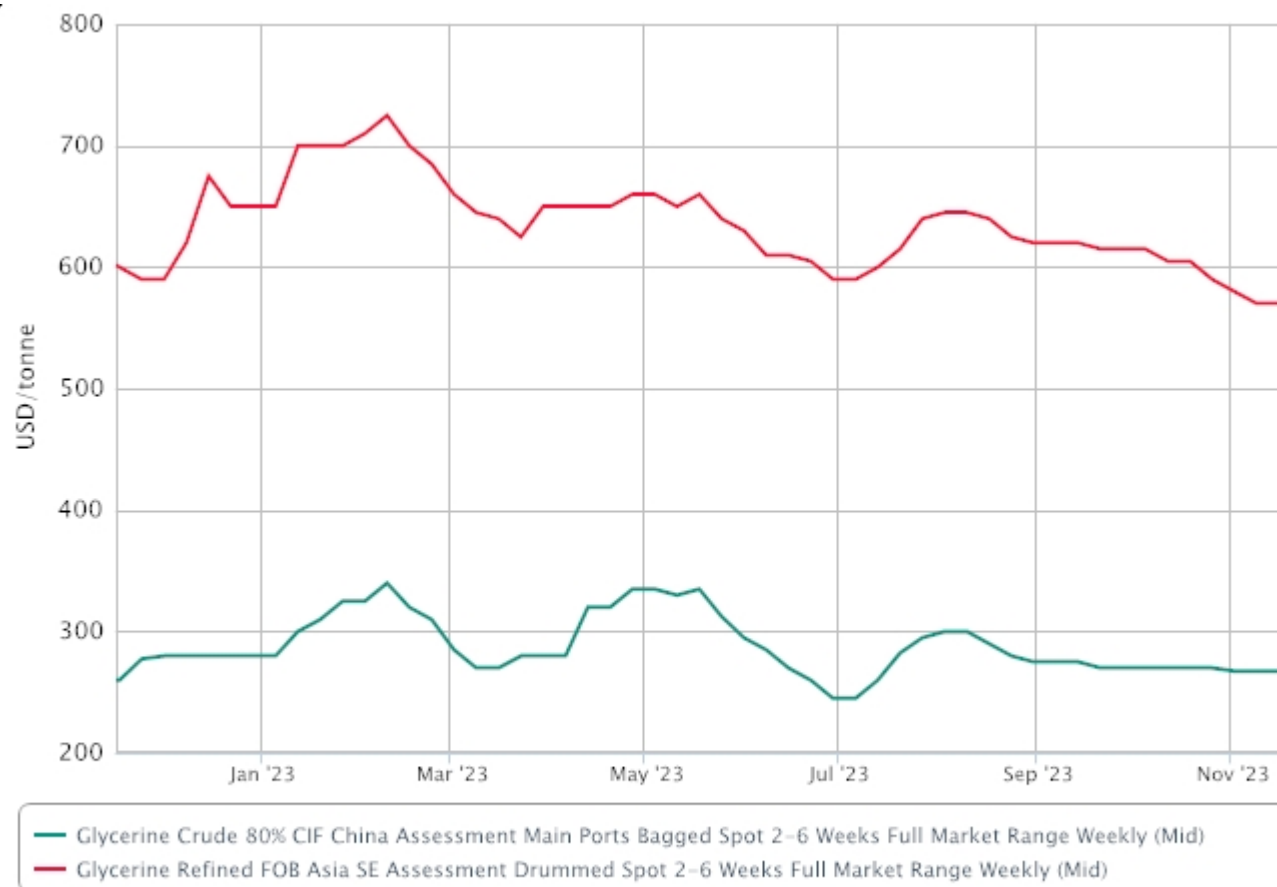
Spot prices were assessed as unchanged to reflect thin discussions and limited trades.

Buyers had largely procured sufficient stocks to cover their November and December requirements and were not pressured to lock in large forward spot shipments.

Supply remained ample due to the increased biodiesel output. Glycerine is a by-product of biodiesel.

The weak downstream ECH market had weighed on demand and crimped spot interest, with buyers seeking lower prices in a long market.

A regional 120,000 tonne/year downstream ECH plant is shut 12-25 November for maintenance.



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Crude glycerine

Spot prices were assessed as flat amid weak demand.

Chinese spot interest for fresh shipments had waned due to ample inventories in the warehouses in China.

Buyers were not pressured to lock in fresh spot shipments or had no urgent need to procure additional spot cargoes from either Brazil or southeast Asia, given the current soft market conditions.

Buyers including traders and distributors, had earlier procured abundant stocks from Brazil, with the cargoes now in warehouses in China.

Spot cargoes from Europe were also available and heard heading to China.

The availability of easily accessible spot product from southeast Asia, had further added to the lacklustre trading activities.

Buyers could easily procure spot product from southeast Asia, which would only take about one to two weeks for the cargo to be delivered to the destination in China.

Product from Brazil takes about 5-8 weeks for the product to be shipped to China.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Crude glycerine from southeast Asia is typically at a higher 85% purity level.

Its duty-free status and quick delivery time of about a week allows it to command a premium.

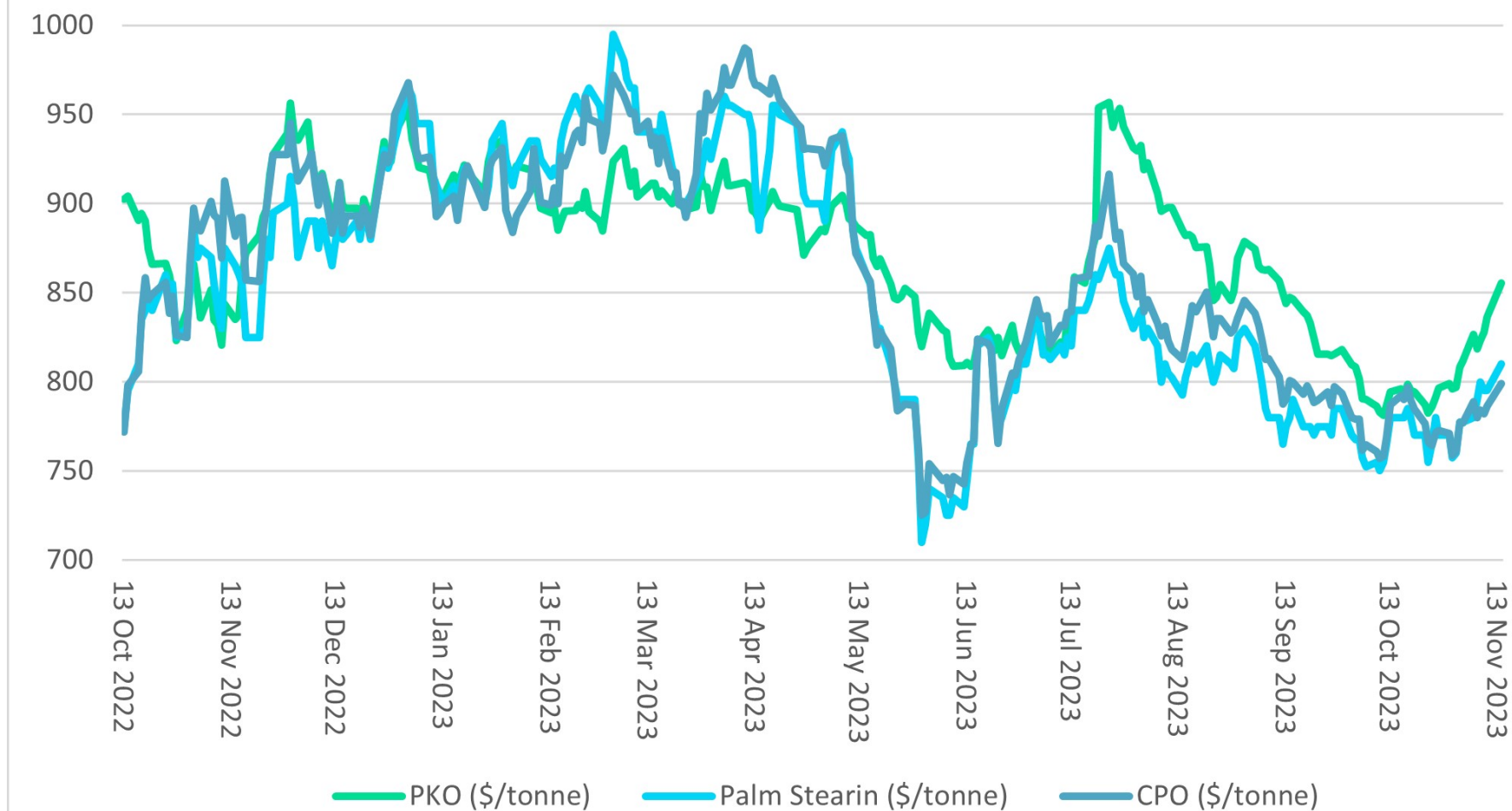
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	14-Nov	6-Nov
CPO	DEL, south Malaysia (M\$)	3,770.00	3,660.00

PKO	DEL, south Malaysia (\$)	855.23	826.64
Palm Olein	FOB, Malaysia (\$)	845.00	825.00
Palm Stearin	FOB, Malaysia (\$)	810.00	780.00
PFAD	FOB, Malaysia (\$)	777.50	760.00
All prices are on a per tonne basis.			
Source: Matthes & Porton			

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